

Visa Inc. (V)

Fiscal Q3 2026 earnings update | Prepared for Cam | July 28, 2026 | Post-print price \$358.14 (after-hours) vs. \$362.53 prior close | Verdict: IN-LINE / HOLD

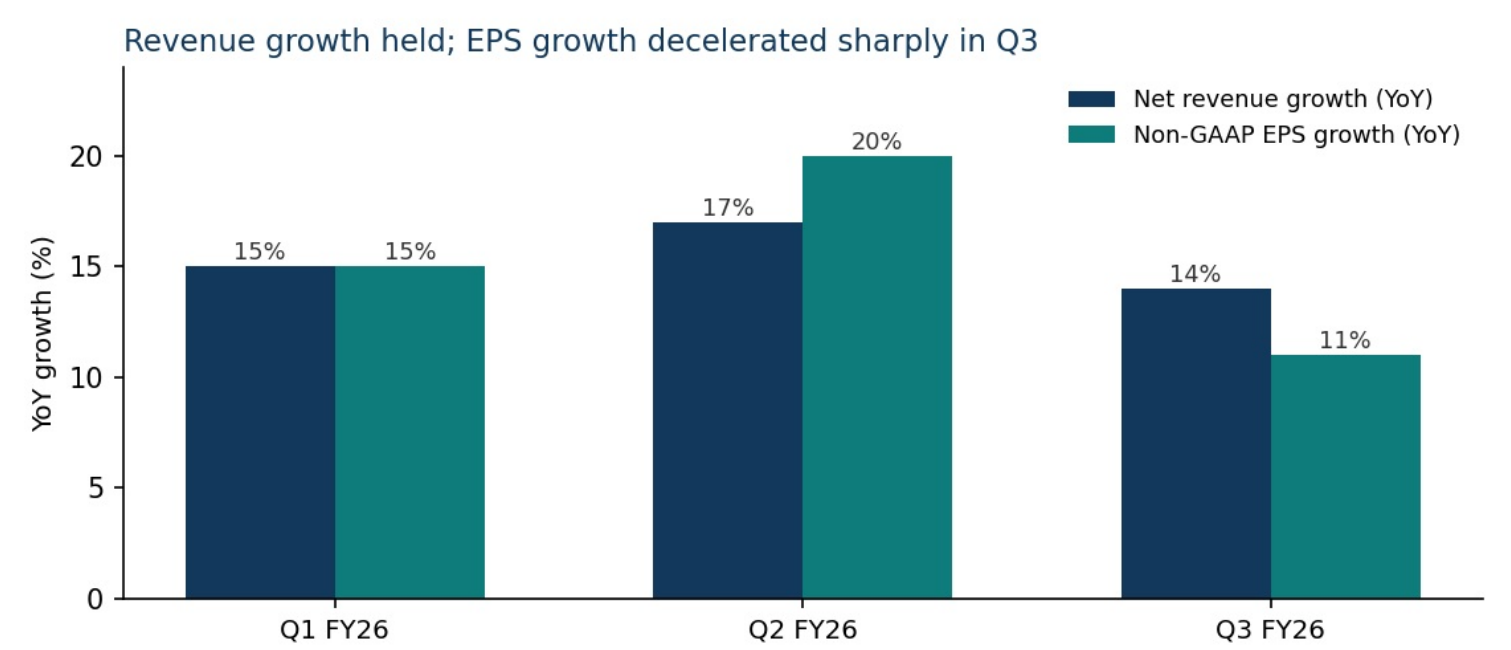
The one-paragraph version. Visa beat consensus on every headline line — revenue \$11.6B (+14%) vs. \$11.35B expected, non-GAAP EPS \$3.32 (+11%) vs. \$3.23 expected — and volumes were genuinely strong: payments volume +10% constant-dollar, cross-border ex-Europe +12%. But the stock traded down in the immediate after-hours print despite the beat, and the reason is visible in the release itself: **non-GAAP EPS growth decelerated from +20% in Q2 to +11% in Q3** even as revenue growth barely moved (17%→14%), because client incentives (+18%) and operating expenses (+17% non-GAAP, +19% GAAP, including a new \$563M severance charge) grew faster than revenue. Nothing here breaks the franchise thesis — the scorecard reads IN-LINE — but the margin/incentive drag is the one line worth tracking into Q4 and FY27 guidance. **My call: hold, no action** — this isn't the add-on-weakness trigger, and it isn't a chase-the-beat moment either.

1. The print vs. consensus and vs. Visa's own guide

Metric	Q3 FY26 actual	Consensus	Visa's own Q3 guide (from Q2 call)	Read
Net revenue	\$11.63B, +14%	\$11.35B, +11.6%	Low-double-digit growth	Beat both
Non-GAAP EPS	\$3.32, +11%	\$3.23, +8.4%	Mid-to-high single digits	Beat both
GAAP EPS	\$2.97, +10%	—	—	Solid
Payments volume (cc)	+10%	—	—	Accelerated vs. Q2's +9%
Cross-border ex-Europe (cc)	+12%	—	—	Accelerated vs. Q2's +11%

Consensus per Zacks (pre-print). Visa's Q3 guide language is management's own framing from the fiscal Q2 2026 call (April 29, 2026), which also called for full-year revenue growth in the low-double-to-low-teens and full-year adjusted EPS growth in the low teens.

The tell: EPS growth decelerated even though volumes accelerated. Payments volume and cross-border growth both *improved* sequentially into Q3, yet non-GAAP EPS growth fell from +20% (Q2) to +11% (Q3), and GAAP net income actually declined sequentially (\$5.63B in Q3 vs. \$6.02B in Q2) despite higher revenue. The gap is entirely on the expense side, detailed below — this is the single item that separates "a fine quarter" from "a beat the market should have loved unconditionally."



Sources: Visa fiscal Q1/Q2/Q3 2026 earnings releases and 8-Ks. Q1 revenue/EPS growth reported together at +15%; Q2 and Q3 shown on a non-GAAP basis.

2. What's actually driving the margin gap

Client incentives are growing faster than revenue

Client incentives — the contra-revenue line paid to issuers and merchants to win and retain volume — were \$4.68B in the quarter, **up 18% year-over-year, versus 14% net revenue growth**. This has been true for several quarters and is the structural cost of defending share in a competitive four-party network business; it is not new to this print, but it stepped up again exactly as management flagged on the Q2 call (they had guided to "a step-up in incentive growth from Q2 to Q3 as comps lap Q3 2025").

A new severance charge, plus the usual litigation drag

GAAP operating expenses rose 19% to \$4.76B, including **\$563M of severance costs** — a genuinely new line this quarter, described as actions "to drive operational efficiencies and reinvest in high-growth opportunities" — plus a \$237M litigation provision tied to the interchange multidistrict litigation (down from \$615M a year ago) and \$78M of acquisition-related amortization. Personnel expense alone rose 40% year-over-year to \$2.46B, almost entirely a function of the severance charge rather than headcount growth; marketing expense also jumped 54% to \$649M, plausibly tied to FIFA World Cup sponsorship activity. Non-GAAP opex, which strips severance and litigation, still rose 17% — ahead of the 14% revenue line.

International transaction revenue is lagging cross-border volume

This is the item most worth watching. Cross-border volume ex-Europe grew 12% (constant-dollar) and total cross-border volume grew 13%, but **international transaction revenue — the line that line is supposed to track — grew only 6% year-over-year**. That's a meaningful de-linkage between the highest-margin volume metric and the highest-margin revenue line. It could reflect FX (the metric is nominal, not constant-dollar, in the international transaction revenue disclosure), corridor mix (World Cup host-city volume may carry a different fee yield than typical cross-border e-commerce), or genuine yield compression. I don't have enough in the release to fully separate these — this is the first thing I'd pull the transcript for.

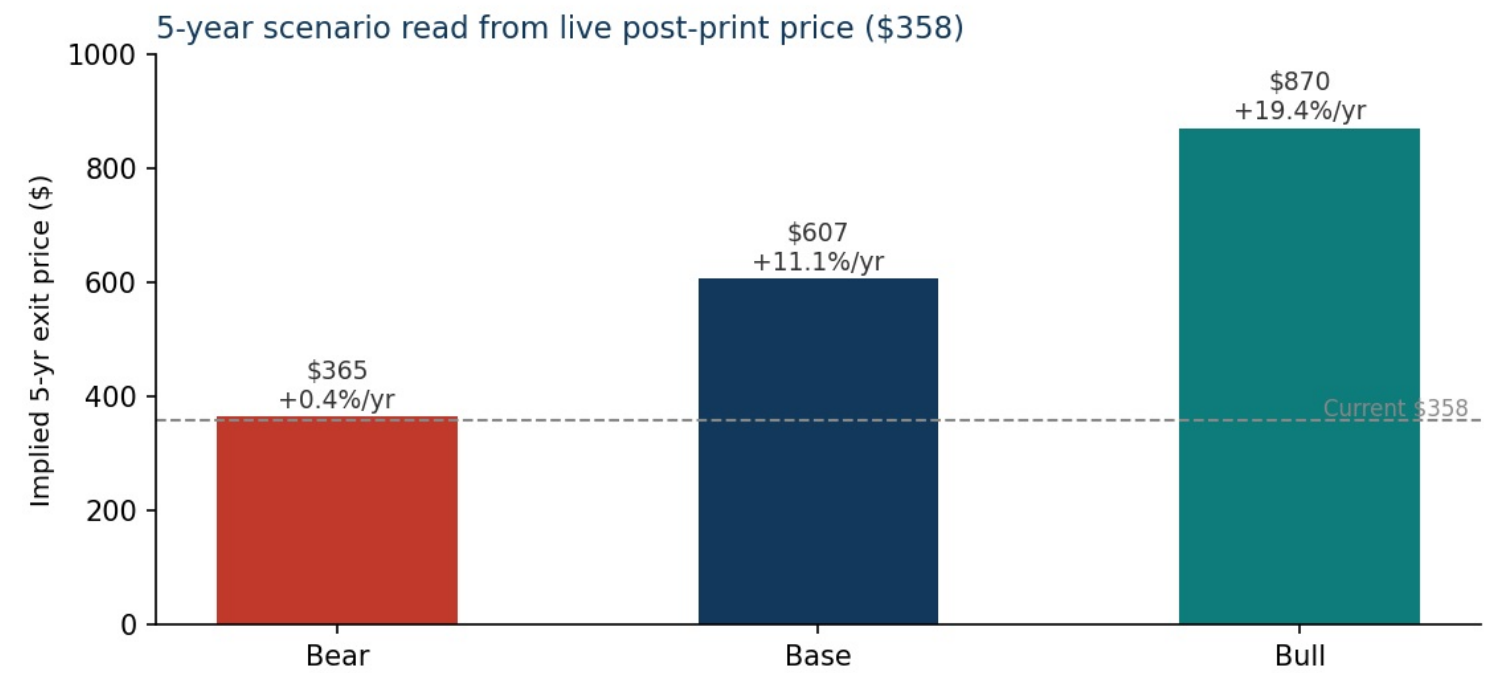
3. Capital allocation and balance sheet

Item	Detail
Share repurchases	~14.5M class A shares for \$4.9B in Q3 (avg. \$330.71); \$28.4B still authorized
Dividend	\$0.670/share declared, payable Sept. 1, 2026 — no change in cadence
Capital returned	\$6.2B in the quarter (buybacks + dividends)
Cash & investments	\$13.9B at June 30, 2026 (down from \$17.2B at FY25-end — funding buybacks and debt paydown)
Debt	\$5.57B of senior notes repaid YTD; \$2.99B new notes + \$1.5B commercial paper issued; net debt position roughly \$9B
Buyback pace	\$16.4B repurchased YTD (nine months) vs. \$13.4B in the prior-year period — a real acceleration

Read: nothing unusual here — Visa is doing what Visa does, funding an aggressive and slightly accelerating buyback from a genuinely cash-generative model, while modestly terming out debt. The dividend is a rounding error to total return, as it should be for a growth-mandate holding.

4. Valuation and five-year scenario read (from the live post-print price)

At \$358.14, trailing P/E is roughly 32x. On FY26E consensus-anchored clean EPS (~\$13.2), the stock is at about 27x forward earnings and roughly 28x forward EV/earnings once the ~\$9B net debt position is included. That's a premium multiple for a business now compounding EPS in the low-to-mid teens rather than the high-teens-to-20s it printed a year ago — worth sitting with given today's deceleration.



Scenarios are my assumptions, not consensus. Bear assumes incentive/opex drag persists and multiple de-rates to 22x; Base assumes management holds ~55% net margin with steady buybacks at a 26x exit; Bull assumes cross-border/value-added-services re-acceleration and margin expansion at a 30x exit.

What's priced in: to earn a market 10%/yr over five years from \$358, Visa needs to reach roughly \$577, which on the base-case 26x exit multiple implies about \$67B of revenue at a 55% net margin — a sustained high-single-to-low-double-digit revenue CAGR from today's \$45B base. That's a demanding but not unreasonable ask for this franchise; it is a materially easier bar than the "bull case must be true" math that showed up in the GEV work, reflecting Visa's lower starting multiple and more predictable compounding.

5. Print scorecard and verdict

KPI	Reported	Signal	
Payments volume growth (cc)	+10%	GREEN	
Cross-border ex-Europe (cc)	+12%	GREEN	
Non-GAAP EPS growth	+11%	AMBER	
Guidance action	Reaffirmed (pending call confirmation)		AMBER

VERDICT: IN-LINE — hold, nothing to chase. Two green KPIs (volumes, the leading indicators for the franchise) and two amber (bottom-line growth deceleration, and a guidance stance I haven't yet confirmed against the call transcript). Nothing here is a genuine miss — no red flags, no guidance cut — but it's also not a beat-and-raise the market should chase. The after-hours weakness looks like the tape pricing in the margin/incentive story rather than a broken thesis.

Guidance-action reads as "reaffirmed" based on the release and prior Q2-call framing (full-year revenue growth low-double-to-low-teens, EPS growth low teens); Visa's 5pm ET call today may add an explicit FY26/Q4 update not yet reflected in the 8-K text pulled for this note — flag to revisit once the transcript is available.

6. Bear case / bull case

Bear case	Bull case
Client incentives keep compounding faster than revenue as competition for issuer/merchant volume intensifies (real-time rails, stablecoins, network competition), permanently compressing net margin below the ~55% run-rate.	Value-added services, commercial/money-movement solutions, and the new stablecoin platform become genuine incremental revenue streams rather than defensive investments, re-accelerating both revenue and margin.
International transaction revenue's lag behind cross-border volume this quarter is the start of a structural yield-compression trend, not a one-off World Cup mix effect.	The World Cup cross-border strength proves durable as summer travel patterns normalize, and FX/mix effects reverse next quarter, closing the gap between volume and revenue growth.
CCCA-style interchange/regulatory pressure (which McNerney has publicly opposed) eventually bites into pricing power or incentive structures.	Aggressive buybacks (accelerating YTD) continue shrinking the share count, providing an EPS tailwind even if net income growth moderates further.

Fit with your portfolio's growth objective

Visa is a total-return, not an income, holding for you — the ~0.7% yield is incidental. It sits outside the AI-capex cluster (AVGO, META, MSFT, ORCL, SOXQ, GEV) that already concentrates a large slice of the book, so it's a genuine diversifier by theme rather than a name that deepens an existing correlated bet. Nothing in this print changes that read.

7. What to watch next

- The Q3 call itself (5pm ET today).** Confirm whether management explicitly raised, reaffirmed, or trimmed FY26 guidance, and get color on the international transaction revenue / cross-border volume gap.
- Client incentives as a % of gross revenue, next 1-2 quarters.** If the 18%-vs-14% gap persists or widens, the margin story shifts from "one noisy quarter" to "structural."
- Whether the severance charge recurs.** A one-time efficiency action is a rounding error; a pattern of restructuring charges would be a different, less rounding-error signal about the underlying cost base.

Sources & disclosures. Primary: Visa Inc. Form 8-K and attached earnings release, fiscal Q3 2026 (filed July 28, 2026); Visa fiscal Q2 2026 earnings release and call commentary (April 29, 2026); Visa fiscal Q1 2026 call transcript (January 30, 2026). Market data: Robinhood live/after-hours quote, July 28, 2026 (V \$358.14 after-hours vs. \$362.53 prior regular close; shares outstanding ~1.905B; trailing P/E ~32x). Secondary/consensus: Zacks Investment Research (pre-print consensus estimates); TipRanks (Q2-call guidance framing). Scenario assumptions, the FY26E/FY29T forward valuation, and the KPI thresholds are my own and were not lifted from an existing fundamental-analysis report on this name — none currently exists in the portfolio's coverage list.

Known uncertainties, stated plainly: (1) The guidance-action classification ("reaffirmed") is inferred from the Q2-call framing and the Q3 print, not from an explicit statement in tonight's release; the 5pm ET call may update this. (2) "Clean EPS" and the FY26E/FY29T margin figures are my model built off consensus revenue/EPS anchors, not a company-reported clean-earnings figure. (3) Net cash/debt (~\$9B net debt) is derived from the balance sheet as of June 30, 2026, not a company-disclosed net-debt figure. (4) All scenario inputs — revenue, margin, exit multiple, share count — are my assumptions and will be wrong in ways I can't fully anticipate. (5) Price is the after-hours quote captured shortly after the release; it will move further once the call concludes and through tomorrow's regular session.

This is educational research and analysis, not investment advice. I am not a licensed financial or tax advisor, and nothing here is a recommendation to buy or sell any security. Position sizing and portfolio fit should be decided by you.